Student activity 5.3

Read and analyse the following transactions. Fill in the following table by writing asset or liability and put a ✓ in the appropriate column. The first two transactions are done as examples.

(1) The value of inventory should be revalued from ₹ 2,500 to ₹ 3,000.

(2) Building revalued from ₹ 2,00,000 to ₹ 1,60,000

(3) Creditors revalued from ₹ 2,000 to ₹ 1,800, as discount can be availed from creditors.

(4) The value of furniture decreased by ₹ 2,000

(5) A provision for outstanding wages would be created for ₹ 1,000

(6) Vehicle revalued to ₹ 20,000 from ₹ 28,000

(7) Outstanding salary would be created for ₹ 10,000

(8) Provision for doubtful debts is to be created for ₹ 1,000

(9) Land revalued from ₹ 2,00,000 to ₹ 2,50,000

(10) Fixtures revalued from ₹ 20,000 to ₹ 22,000

Transaction number	Asset/liability	Increase	Decrease	Debit revaluation account	Credit revaluation account
1	Asset	✓			✓
2	Asset		✓	✓	
3					
4					
5					
6					
7					
8					
9					
10					

What do you conclude from the above activity? Show your understanding by filling in the table below. Write increase or decrease in the appropriate box. One box is filled in as an example.

Revaluation account	Debit	Credit
Asset	Decrease	?
Liability	?	?

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